

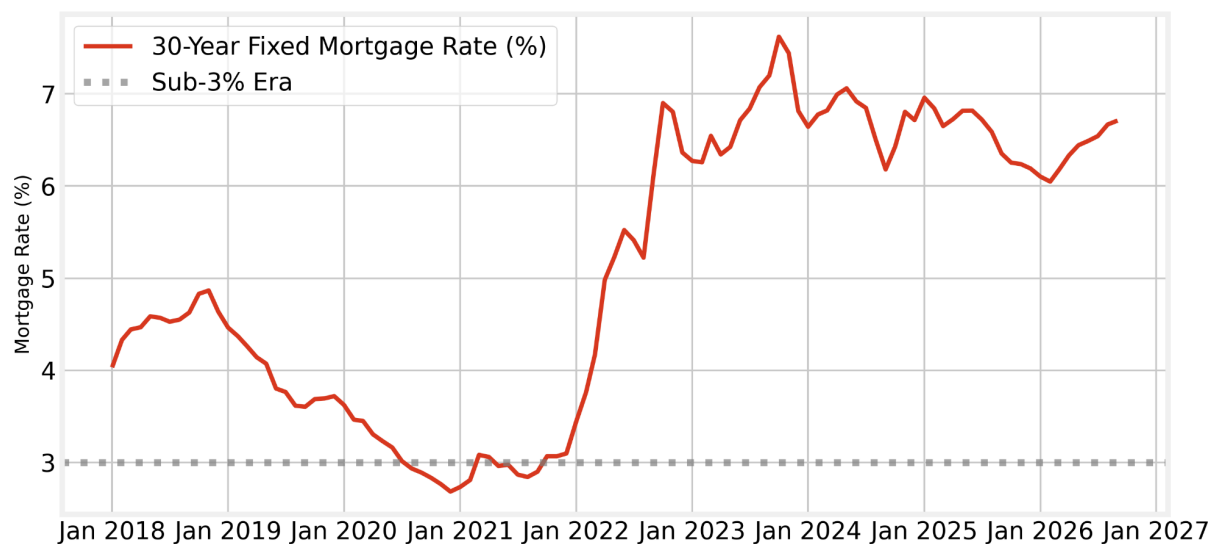
The Housing "Lock-in" Paradox

Why Expensive Mortgages Didn't Crash Home Prices

Financial markets generally operate on established rules: when the cost of borrowing skyrockets, asset prices are supposed to fall. However, recent data from the Federal Reserve Economic Data (FRED) reveals a complete breakdown of this rule in the U.S. housing market. This analysis visualizes the "Lock-in Effect," where raising rates accidentally destroyed housing supply faster than demand, keeping prices artificially high.

The Cost of Borrowing Explodes

Chart 1: The Cost of Borrowing Explodes (2018-Present)

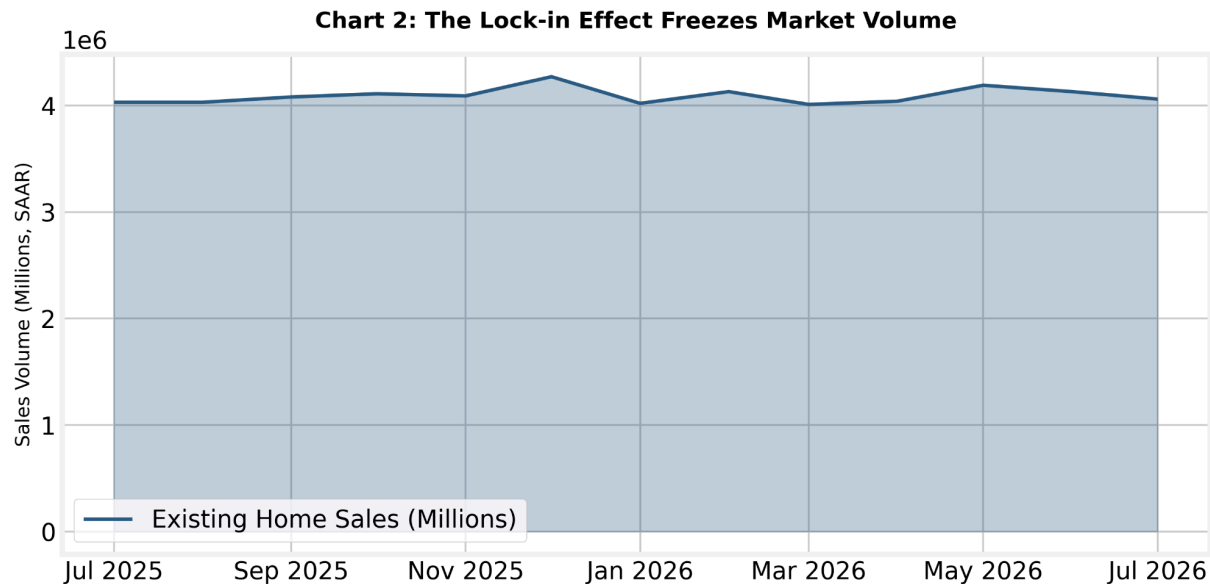


What is happening: This chart tracks the 30-year fixed mortgage rate. Simply put, it shows how expensive it is to borrow money from a bank to buy a house.

The Story: During 2020 and 2021, mortgage rates were historically cheap (under 3%). Millions of people bought homes or refinanced to lock in these amazing deals. But starting in early 2022, the Federal Reserve began aggressively raising interest rates to combat inflation. Within a very short time, mortgage rates spiked to around 7%.

The Implication: Buying a house became incredibly expensive very fast. According to traditional economic rules, this massive spike in the cost of capital should have caused housing prices to crash because affordability plummeted.

The Market Freezes

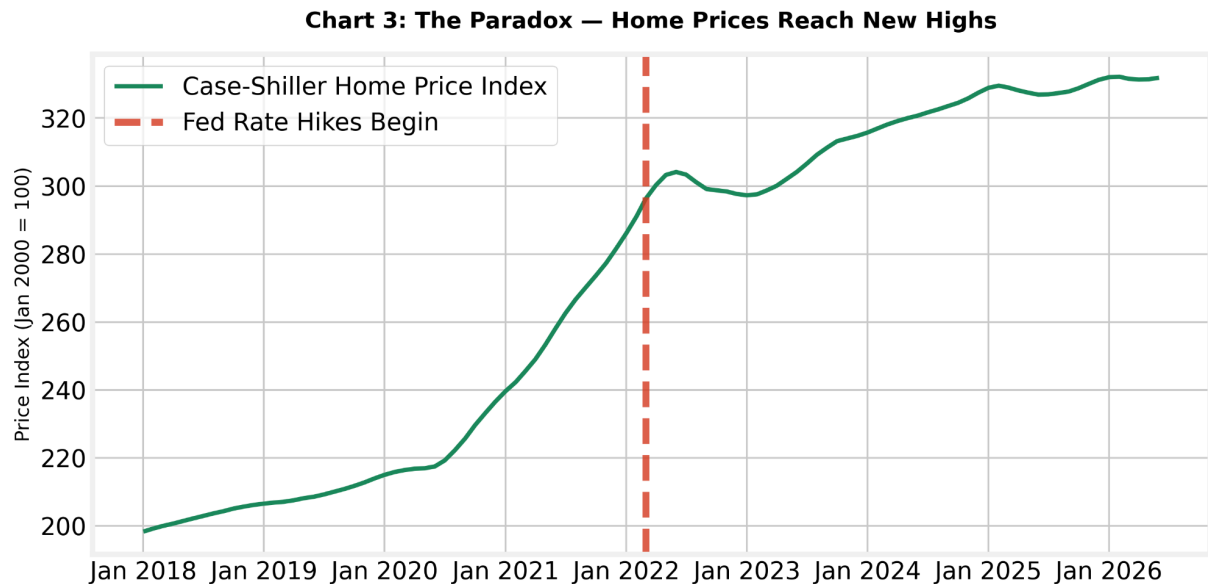


What is happening: This chart tracks the volume of existing home sales across the country.

The Story: When mortgages became wildly expensive, a strange phenomenon occurred: people stopped putting their houses up for sale. Anyone who locked in a 3% mortgage in 2020 refused to sell, because doing so meant they would have to buy their next house with a 7% mortgage.

The Implication: Homeowners essentially put "golden handcuffs" on themselves. Because nobody wanted to trade their incredibly cheap loan for an expensive one, they stayed put. As a direct result, the supply of houses for sale completely dried up.

The Price Paradox



What is happening: This final chart tracks the Case-Shiller Home Price Index, representing the actual price tag of homes.

The Story: This is the conclusion of the paradox. When the Fed began rate hikes, prices should have corrected downward. Instead, the index dipped only briefly before climbing to new all-time highs.

The Implication: Because nobody wanted to sell their homes, there was almost zero inventory available. The few people who had to buy a house ended up in fierce bidding wars over a tiny handful of properties. That intense competition for limited supply forced prices to keep climbing. Ultimately, the Federal Reserve accidentally broke the housing market's supply, making homes more expensive than ever.